

FINTRUST BANK LIMITED

Retail Liabilities Group

RECURRING DEPOSIT POLICY

Policy Document | Version 1.0

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CLASSIFICATION: INTERNAL

FinTrust Bank Limited is a fictional institution. This document is synthetic material created for demonstration and training purposes and has no legal effect.

Document Control

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Status of this document. This Policy is an internal document of FinTrust Bank Limited. It states the Bank's own standards and the manner in which its staff are required to act. It is not a contract with any depositor, whose relationship with the Bank is governed by the deposit advice and the terms and conditions accepted at acceptance. Where those are silent, or are less favourable to the depositor than this Policy, this Policy shall guide the Bank's conduct.

Relationship with the Fixed Deposit Policy. This Policy supersedes Section 12 of the Fixed Deposit Policy and is the authoritative document for recurring deposits. Every provision carried forward from that Section is reproduced without change of substance. Paragraph 22.4 requires Compliance to reconcile the two documents at each review and to report any divergence as an error to be corrected, not as a discretion.

Interpretation. Words importing the singular include the plural. A reference to a Section is a reference to a Section of this Policy. A reference to a depositor includes every joint holder where the context requires, and in relation to a deposit held for a minor includes the guardian. Headings are for convenience only and do not affect interpretation.

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1. Purpose and Objectives

1.1 Purpose

This Recurring Deposit Policy ("the Policy") establishes the principles, standards and operating rules governing the acceptance, maintenance, servicing, renewal, premature closure and repayment of recurring deposits by FinTrust Bank Limited ("FinTrust" or "the Bank"). A recurring deposit is a deposit built up by instalments paid at monthly intervals over an agreed tenure, on which interest is computed at a rate agreed at acceptance and paid with the accumulated instalments at maturity.

1.2 Relationship with the Fixed Deposit Policy

Recurring deposits were previously governed by Section 12 of the Fixed Deposit Policy and appeared in that policy's catalogue as variant TD-REC. This Policy supersedes that Section and is from its effective date the authoritative document for recurring deposits. Section 12 of the Fixed Deposit Policy is to be read as a pointer to this Policy pending its formal amendment at the next review.

Every provision carried forward from Section 12 of the Fixed Deposit Policy is reproduced here without change of substance, including the minimum and maximum instalment, the tenure limits, the default charge and its cap, and the treatment of six consecutive defaults. Where this Policy goes further than that Section, it does so by addition and not by contradiction, save in respect of the flexible variant introduced in Section 14, which did not exist when that Section was written and to which the fixed-instalment rule in that Section was never directed.

The Fixed Deposit Policy continues to govern term deposits. Where a provision of this Policy is expressed in the same terms as the corresponding provision of that policy, the two shall be read and applied consistently, and any divergence in figures is an error to be reported under paragraph 22.4 rather than a difference to be given effect.

1.3 Objectives

- To ensure that a depositor is told, before opening a recurring deposit, the instalment, the tenure, the rate, the maturity value, and what happens if an instalment is missed.
- To ensure that a missed instalment is treated as an ordinary event of household finance rather than as a default of the kind that attracts recovery action.
- To ensure that a depositor who cannot continue is offered curtailment or closure on fair terms rather than being left to accumulate charges.
- To ensure that rates are published, applied uniformly within a slab and bucket, and not varied by reference to the identity of the depositor.
- To ensure that a matured deposit is repaid or renewed promptly, and that a depositor is not disadvantaged by the Bank's failure to obtain instructions.
- To ensure that nomination is offered actively and that a claim on the death of a depositor is settled promptly and sympathetically.

1.4 Guiding Principles

A missed instalment is not a default in the credit sense. A recurring deposit is the depositor's own money. Failure to pay an instalment attracts a small charge and nothing else. It is never reported to a credit information company, never triggers recovery contact, and never causes the deposit to be closed without the depositor's instruction.

The saving habit is the product. Where a depositor is struggling, the Bank's first response is to offer a lower instalment through a fresh deposit or curtailment, not to let the deposit lapse.

Uniformity within a slab. Two depositors opening the same instalment for the same tenure on the same day receive the same rate.

Interest already earned is never forfeited. No charge, default or closure shall reduce the interest that has accrued to the date it is applied.

2. Scope and Applicability

2.1 Scope

This Policy applies to all recurring deposits denominated in Indian Rupees accepted by any domestic branch or digital channel of FinTrust Bank Limited, and to all variants listed in Section 5.

2.2 Persons Bound by the Policy

The Policy binds all employees of the Bank, all business correspondents, direct selling agents and outsourced service providers engaged in relation to deposit acquisition or servicing, and all third parties operating branded or co-branded FinTrust deposit channels.

2.3 Exclusions

This Policy does not govern:

- Term deposits, savings deposits and current accounts, which are governed by their respective policies.
- Foreign currency recurring deposits and recurring deposits accepted from persons resident outside India in categories requiring foreign exchange treatment, which are governed by the Foreign Currency and Non-Resident Deposits Policy. The provisions of this Policy relating to nomination, claim settlement and grievance redressal nonetheless apply.
- Recurring contributions to a pension, insurance or investment product distributed by the Bank, which are not deposits and are governed by the Third Party Products Policy. Staff shall not describe such a product as a recurring deposit, and shall not represent that it carries deposit insurance.
- Deposits accepted under a court order or a statutory arrangement, which are governed by the Specialised Accounts Policy.

2.4 Conflict and Precedence

In the event of conflict between this Policy and any statutory provision, regulatory direction or judicial order, the latter shall prevail and the Policy shall be deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Policy and any internal circular, this Policy shall prevail unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Accumulated Balance means the total of instalments received on a recurring deposit together with interest accrued on them to the date of computation.

Card Rate means the rate published by the Bank for a given instalment slab and tenure bucket, applicable uniformly to all depositors within that slab and bucket.

Contracted Rate means the rate at which a particular recurring deposit was accepted, being the card rate in force on the date of acceptance for the applicable slab and bucket.

Core Instalment means, in relation to a flexible recurring deposit, the minimum monthly amount the depositor undertakes to pay, on which the tenure and the indicative maturity value are computed.

Default means the non-receipt of an instalment by the due date, and "defaulted instalment" is construed accordingly.

Default Charge means the charge levied under Section 12 in respect of a defaulted instalment.

Due Date means the day of each month on which an instalment falls due, being the day elected by the depositor at acceptance.

Instalment means the monthly amount payable into the deposit.

Overdue Deposit means a recurring deposit which has matured and in respect of which neither repayment nor renewal instructions have been given effect.

Period Run means, in relation to a premature closure, the period from the due date of the first instalment to the date of closure.

Tenure Bucket means the band of periods for which a single card rate is published.

4. Governance and Regulatory Framework

4.1 Regulatory Basis

Recurring deposits are accepted by FinTrust under the licence granted to it as a banking company and are subject to directions issued from time to time by the banking regulator, including directions on interest rates on deposits, the prohibition of discrimination between depositors within a slab, the treatment of premature withdrawal and the penalty applicable, the payment of interest on overdue and unclaimed deposits, customer identification, deposit insurance, nomination, settlement of claims of deceased depositors, and the transfer of unclaimed deposits to the prescribed fund.

4.2 Policy Ownership

The Retail Liabilities Group is the owner of this Policy. The Head of Retail Liabilities is accountable for its accuracy, currency and internal consistency, and in particular for its consistency with the Fixed Deposit Policy on every provision common to both.

4.3 Approval Authority

This Policy is approved by the Board of Directors on the recommendation of the Risk Management Committee. Board approval is required for adoption of the Policy, for any amendment to Sections 1, 9, 12, 15 and 22, and for the introduction or withdrawal of a variant. The Asset and Liability Committee approves the rate setting methodology, the tenure buckets and the instalment slabs. The Product and Pricing Committee may approve individual card rates within that methodology and the charges in paragraph 8.7.

4.4 Three Lines of Defence

Line	Function	Primary responsibility
First	Branches, digital channel, deposit operations, contact centre	Correct application of the Policy; rate application; instalment collection; maturity handling
Second	Compliance, Risk, Product, Treasury	Policy design, rate governance, consistency with the Fixed Deposit Policy, monitoring, thematic testing
Third	Internal Audit	Independent assurance on design adequacy and operating effectiveness

4.5 Exceptions

Any departure from a provision of this Policy constitutes an exception and requires prior written approval from the authority specified in Section 22. Exceptions shall be recorded in the Exception Register maintained by Compliance, shall specify a validity period not exceeding twelve months, and shall be reported in aggregate to the Risk Management Committee each quarter. No exception may be granted to paragraph 9.2, paragraph 12.6, Section 15 or paragraph 16.5.

5. Recurring Deposit Variants

5.1 Product Catalogue

Code	Variant	Description
RD-STD	FinTrust Recurring Deposit	Fixed monthly instalment over an agreed tenure
RD-SEN	FinTrust Senior Citizen Recurring Deposit	Fixed instalment, with the premium in paragraph 9.5
RD-FLX	FinTrust Flexible Recurring Deposit	Core instalment with the option to pay more in any month, governed by Section 14
RD-MIN	FinTrust Young Saver Recurring Deposit	Opened in the name of a minor, governed by paragraph 18.5
RD-STP	FinTrust Step-Up Recurring Deposit	Instalment increases at agreed intervals by an amount fixed at acceptance

5.2 Standard Recurring Deposit

The instalment is fixed at acceptance and does not vary during the tenure. A depositor who wishes to save a larger amount shall be advised to open a second recurring deposit or, where the depositor expects the amount available to vary, to consider the flexible variant.

5.3 Step-Up Recurring Deposit

The instalment increases at intervals of twelve months by an amount or percentage fixed at acceptance and recorded in the deposit advice. The depositor shall be shown, at acceptance, the instalment applicable in each year of the tenure and the resulting maturity value, in figures. The step-up shall not be varied during the tenure, and a depositor unable to meet an increased instalment shall be dealt with under paragraph 12.7.

5.4 Young Saver Recurring Deposit

A Young Saver deposit is opened in the name of a minor, operated by the guardian or by the minor where the minor has attained the age at which independent operation is permitted under the Savings Account Policy. The instalment minimum is Rs. 100. No default charge shall be levied on a Young Saver deposit.

5.5 Interaction with Savings Account Variants

Where a depositor holds a Basic Savings account, a recurring deposit may be opened and the instalment debited to that account, and the debit shall not be counted against the free transaction entitlement in the Savings Account Policy. Where a depositor holds a Salary Account, the instalment may be timed to follow the salary credit date, and the depositor shall be offered that alignment at acceptance.

6. Eligibility and Acceptance

6.1 Eligible Depositors

A recurring deposit may be opened by any person or entity eligible to maintain a deposit account with the Bank under the Savings Account Policy or the Current Account Policy, and by a minor in accordance with paragraph 5.4.

6.2 Deposits Not to Be Accepted

A recurring deposit shall not be opened where customer due diligence is incomplete; for a person appearing on a designated sanctions list or with whom the Bank is prohibited from dealing; where the source of funds cannot be satisfactorily explained and the case has not been cleared by the Financial Intelligence Unit; or where acceptance would contravene any regulatory direction.

6.3 Number of Deposits

There is no limit on the number of recurring deposits a depositor may hold. Staff shall not discourage a depositor from opening a second deposit at a lower instalment where the depositor is uncertain of the amount that will be available each month, and shall present that course as the alternative to opening a single larger deposit.

6.4 Solicitation

Staff shall not represent that a rate is available which is not the published card rate for the applicable slab and bucket, shall not offer any inducement outside the published rate, and shall not represent that a recurring deposit carries any guarantee, protection or benefit beyond those stated in this Policy and the deposit advice.

Staff shall not describe an insurance, pension or investment product involving periodic contributions as a recurring deposit, and shall not compare the two in a manner suggesting that the latter carries deposit insurance.

6.5 No Bundling

The opening of a recurring deposit shall not be made conditional on the purchase of any other product, and no product carrying a charge or premium payable by the depositor shall be sold as part of the process. Any such product shall be offered separately, with separate disclosure and separately recorded consent.

7. Opening, Due Diligence and Deposit Advice

7.1 Due Diligence

The standard of customer due diligence applicable to a recurring deposit is that applicable to a savings account or, for an entity, to a current account. Where the depositor already maintains an account with the Bank and due diligence is current, it need not be repeated, and the Bank shall not require fresh documentation from an existing customer whose records are up to date.

7.2 Disclosure Before Acceptance

Before a recurring deposit is opened the depositor shall be told, and the disclosure recorded:

- The instalment amount, the tenure, the number of instalments and the maturity date.
- The contracted rate and the compounding frequency.
- The maturity value in figures, and for a step-up deposit the instalment applicable in each year.
- The due date elected, and the account from which instalments will be collected.
- What happens if an instalment is missed, including the default charge in figures for this depositor's instalment, and the express statement that a missed instalment is not reported to any credit information company.
- The options available on six consecutive defaults, under paragraph 12.7.
- The premature closure terms, including the penalty, expressed in figures for a representative early date.
- That the deposit is insured to the extent stated in Section 20, and that insurance is aggregated with the depositor's other deposits.
- The availability of a loan or overdraft against the accumulated balance under Section 17 as an alternative to premature closure.

7.3 Deposit Advice

A deposit advice shall be issued at acceptance, and in any event within one business day, recording the particulars in paragraph 7.2, the deposit reference number, the nomination recorded or the declinature, and the maturity instruction. The advice shall be issued to the depositor directly and shall be available in the digital channels at all times.

7.4 Statement of Instalments

A statement showing every instalment received, every instalment defaulted, every default charge levied and the accumulated balance shall be available in the digital channels at all times and shall be furnished on request without charge. A statement shall be sent to the depositor at least annually.

7.5 Nomination

Nomination shall be actively offered in respect of every recurring deposit held by an individual and shall be recorded within two business days. Where the depositor declines, the declinature shall be recorded in writing and signed. A nomination may be made, varied or cancelled at any time without charge.

7.6 Standing Maturity Instruction

The depositor shall record a maturity instruction at acceptance, being repayment to a nominated account or renewal on the terms in Section 16. The instruction may be varied at any time before maturity through any channel, without charge.

8. Instalment, Tenure and Charges

8.1 Tenure

A recurring deposit may be accepted for a period of not less than six months and not more than one hundred and twenty months, in multiples of one month.

8.2 Instalment Amounts

Variant	Minimum instalment	Maximum instalment
Recurring Deposit	Rs. 500 per month, in multiples of Rs. 100	Rs. 1,00,000 per month
Senior Citizen Recurring Deposit	Rs. 500 per month, in multiples of Rs. 100	Rs. 1,00,000 per month
Flexible Recurring Deposit	Core instalment of Rs. 1,000	Ten times the core instalment in any month
Young Saver Recurring Deposit	Rs. 100 per month, in multiples of Rs. 100	Rs. 25,000 per month
Step-Up Recurring Deposit	Rs. 1,000 in the first year	Rs. 1,00,000 in any year

A depositor wishing to save more than the maximum shall be offered a second recurring deposit or a term deposit, and shall not be refused without that alternative being presented.

8.3 Due Date

The depositor shall elect the due date at acceptance from the dates the Bank offers. The due date may be changed once during the tenure without charge, and the change takes effect from the month following the request.

8.4 First Instalment

The first instalment shall be paid at acceptance, and the tenure runs from its due date. Where the first instalment is not received within seven days of acceptance, the deposit shall not be opened, no charge shall be levied, and the depositor shall be informed.

8.5 Rounding of the Instalment

The instalment shall be in multiples of Rs. 100. Staff shall not require a depositor to round the instalment upward beyond the applicable minimum, and shall record the amount the depositor states.

8.6 Change of Instalment

The instalment on a standard, senior citizen or Young Saver deposit shall not be varied during the tenure. A depositor wishing to change the amount saved each month shall be offered a second deposit, curtailment under paragraph 12.7, or the flexible variant on a fresh deposit. The Bank shall not close a deposit and open a replacement for this purpose without telling the depositor that the closure is a premature closure attracting Section 15, and showing the net effect in figures.

8.7 Charges

Service	Charge
Opening a recurring deposit	Nil
Deposit advice, and any duplicate	Nil
Statement of instalments, any number of times	Nil
Recording, variation or cancellation of nomination	Nil
Change of due date, once during the tenure	Nil
Change of due date, subsequently	Rs. 100
Variation of maturity instruction	Nil
Default in an instalment	Per Section 12
Premature closure	No charge; the rate treatment in Section 15 applies
Interest certificate and tax certificate	Nil
Loan or overdraft against the deposit, processing	Nil

No charge shall be levied in connection with a recurring deposit that is not in this paragraph.

9. Interest Rates and Rate Setting

9.1 Rate Setting

Card rates are determined by the Product and Pricing Committee within the methodology approved by the Asset and Liability Committee, having regard to the Bank's funding requirement, the shape of the yield curve and the competitive position. Rates are published for each combination of instalment slab and tenure bucket, and are ordinarily aligned to the term deposit card for the corresponding tenure.

9.2 Uniformity and Non-Discrimination

The rate offered shall be the card rate in force on the date of acceptance for the applicable instalment slab and tenure bucket. It shall not be varied by reference to the identity of the depositor, the branch at which the deposit is opened, the channel through which it was sourced, the depositor's relationship value, or any negotiation. Two depositors opening the same instalment for the same tenure on the same day shall receive the same rate.

The only permitted differentiation is that in paragraph 9.5. This paragraph admits of no exception.

9.3 Publication

The complete rate card shall be displayed at every branch, published on the Bank's website, and available through the contact centre and the digital channels. A revision shall be published before it takes effect and shall record the date and time from which it applies.

9.4 Rate Fixed for the Tenure

The contracted rate applies to the whole of the deposit for the whole of the tenure, including to instalments received after a rate revision. A depositor is not entitled to the benefit of a subsequent increase, and the Bank shall not seek the benefit of a subsequent decrease. This applies equally to an instalment paid late and to an advance instalment.

9.5 Senior Citizens

A depositor who has attained the age of sixty years is entitled to a premium of 0.50% per annum above the applicable card rate. The premium applies from the date of acceptance where age is evidenced at that date, and from the date evidence is furnished where furnished later, without retrospective effect. Where a deposit is held jointly, the premium applies where the first-named depositor is a senior citizen.

9.6 Indicative Card Rates

The following are indicative and subject to revision. The prevailing rates published under paragraph 9.3 apply.

Tenure bucket	Rate per annum	Senior citizen rate
6 months to 1 year	6.50%	7.00%
Above 1 year to 2 years	7.00%	7.50%
Above 2 years to 3 years	7.25%	7.75%
Above 3 years to 5 years	7.00%	7.50%
Above 5 years to 10 years	6.75%	7.25%

9.7 Rate on a Deposit Opened After Cut-Off

A deposit whose first instalment is received after the cut-off time published for the channel is opened with effect from the next business day, and the card rate in force on that day applies.

10. Computation of Interest and Maturity Value

10.1 Basis

Interest on a recurring deposit is computed on each instalment from its date of receipt to the date of maturity, at the contracted rate, compounded quarterly on the calendar quarter. The maturity value is the sum of the compounded values of all instalments received, less any default charge levied and not recovered separately.

10.2 Instalments Received Late

An instalment received after its due date earns interest from the date of actual receipt and not from the due date. The shortfall in interest that results is the economic consequence of the delay, and is in addition to the default charge in Section 12. The depositor shall be told this at acceptance and it shall be shown in the statement.

10.3 Deposits of Less Than One Year

On a recurring deposit of tenure less than one year, interest is computed on the same basis and compounded quarterly. Where the tenure is not a whole number of quarters, interest for the incomplete quarter is computed on a simple basis for the actual number of days.

10.4 Maturity Value Disclosure

The maturity value shown at acceptance assumes that every instalment is received on its due date. The deposit advice shall state this assumption expressly and shall state that the actual maturity value will be lower if instalments are received late or are defaulted. An indicative recomputation shall be available in the digital channels at any time, reflecting the instalments actually received to that date.

10.5 Payment on Maturity

On maturity, the maturity value shall be credited to the account recorded in the maturity instruction on the maturity date itself. Where the maturity date is not a business day, credit shall be made on the next business day and interest shall be paid at the contracted rate for the intervening days.

10.6 Delay by the Bank

Where the Bank fails to credit maturity proceeds on the due date for a reason attributable to the Bank, it shall pay compensation at the rate of Rs. 100 per day of delay in addition to the interest due, credited automatically without the depositor having to claim it.

10.7 Rounding

Interest shall be rounded to the nearest rupee, with fifty paise and above rounded up. Rounding shall not be applied in a manner that systematically favours the Bank.

11. Collection of Instalments

11.1 Mode of Collection

Instalments shall be collected by standing instruction on an account maintained with the Bank, or by direct debit under a mandate on an account maintained elsewhere. A depositor may also pay an instalment at a branch, through the digital channels, or by any other means the Bank makes available, and the Bank shall accept such a payment whether or not a mandate subsists.

11.2 Registration of the Mandate

The mandate shall be registered before the deposit is opened. Where registration on an account maintained elsewhere is pending, the deposit may be opened against the first instalment paid by another means, and the depositor shall be told that instalments must be paid by another means until registration is confirmed.

11.3 Presentation

The standing instruction or mandate shall be presented on the due date. Where it fails for insufficiency of funds, it shall be presented once more within seven days, and the depositor shall be informed of the failure on the day it occurs. The mandate shall not be presented more than twice in a month.

11.4 Reminders

The Bank shall send a reminder three business days before each due date where the depositor has opted to receive one, and shall in every case send an alert on the day an instalment is received and on the day a presentation fails.

11.5 Order of Application

Where a depositor pays an amount covering more than one instalment, it shall be applied first to the oldest defaulted instalment and then in order, unless the depositor instructs otherwise. Where the amount paid is less than one instalment it shall be held to the depositor's credit and applied when the balance is received, and shall earn interest from the date each instalment is completed.

11.6 Failure of the Bank's Systems

Where an instalment is not collected because of a failure of the Bank's systems or of the payment infrastructure, no default charge shall be levied, interest shall be computed as though the instalment had been received on its due date, and the depositor shall be informed within three business days. The depositor shall not be required to establish that the failure occurred.

12. Default in Instalments

12.1 Character of a Default

A default in a recurring deposit instalment is the non-receipt of the depositor's own money into the depositor's own deposit. It is not a credit default. It shall not be reported to any credit information company, shall not be recorded against the depositor in any credit assessment, shall not trigger any recovery contact, and shall not be treated as an adverse event in the depositor's relationship with the Bank.

12.2 Notice

Where an instalment is not received by the due date, the Bank shall inform the depositor within three business days, stating the instalment missed, the default charge applicable in figures, the means of paying it, and the fact that the deposit continues.

12.3 Default Charge

A default charge of Rs. 10 per Rs. 1,000 of the instalment, per month of delay, may be levied, subject to a maximum of Rs. 100 per instalment.

Instalment	Charge per month of delay	Maximum per instalment
Rs. 500	Rs. 5	Rs. 100
Rs. 1,000	Rs. 10	Rs. 100
Rs. 2,000	Rs. 20	Rs. 100
Rs. 5,000	Rs. 50	Rs. 100
Rs. 10,000 and above	Rs. 100	Rs. 100

The charge shall be deducted from the maturity value and shall be shown separately in the statement. It shall not be recovered from the depositor's savings or current account, and shall not be capitalised or itself attract interest.

12.4 No Charge on Young Saver Deposits

No default charge shall be levied on a Young Saver Recurring Deposit in any circumstance.

12.5 Waiver

The default charge shall be waived where the default arose from a failure within paragraph 11.6, from an error of the Bank, or from a delay in the credit of salary or pension into the collection account for a reason not attributable to the depositor. The Branch Manager may waive the charge on hardship grounds, recorded with the reason, and there is no limit on the number of such waivers in the depositor's favour.

12.6 Interest Not Forfeited

A default shall not cause the forfeiture of any interest already accrued, shall not reduce the rate applicable to the deposit, and shall not cause the deposit to be closed. This paragraph admits of no exception.

12.7 Six Consecutive Defaults

Where six consecutive instalments remain unpaid, the Bank shall contact the depositor and offer the following options, explaining each in figures:

- Resume instalments, paying the defaulted instalments with the applicable charges, and continue to the original maturity.
- Resume instalments without paying the defaulted ones, in which case the maturity value will be lower by the instalments not paid and the interest they would have earned.
- Curtail the tenure to the period for which instalments have been paid, and receive the accumulated balance with interest at the card rate for that period, without any premature closure penalty.
- Close the deposit and receive the accumulated balance with interest at the card rate for the period actually run, without any premature closure penalty.
- Open a fresh recurring deposit at a lower instalment the depositor can sustain, and curtail or close the existing one.

Where the depositor does not respond within sixty days of the contact, the deposit shall be closed under the fourth option, the proceeds credited to the depositor's account, and the depositor informed. No penalty shall apply to a closure under this paragraph.

12.8 Reporting

Deposit Operations shall report monthly to the Head of Retail Liabilities the number of deposits with one or more defaults, the number with six or more consecutive defaults, the options elected, the charges levied and waived, and any branch or channel showing a disproportionate default rate, which shall be investigated as a possible indicator of mis-selling.

13. Advance Instalments

13.1 Payment in Advance

A depositor may pay one or more instalments in advance at any time. There is no limit on the number of instalments that may be paid in advance, and no charge applies.

13.2 Interest on Advance Instalments

Interest on an advance instalment shall be computed from the date of receipt and not from the due date on which it would otherwise have fallen. An advance instalment therefore earns more interest than one paid on its due date, and the depositor shall be told so.

13.3 Effect on the Tenure

The payment of instalments in advance does not shorten the tenure or advance the maturity date. Where a depositor pays all remaining instalments in advance, the deposit continues to the original maturity date and the maturity value is computed accordingly. A depositor wishing to receive the money earlier must close the deposit under Section 15, and shall be told so before paying instalments in advance for that purpose.

13.4 Refund of Advance Instalments

A depositor who has paid instalments in advance may ask for them to be refunded. Instalments not yet due shall be refunded within three business days together with the interest they have earned, without any penalty, and the deposit shall continue.

14. Flexible Recurring Deposits

14.1 Nature

A flexible recurring deposit is one in which the depositor undertakes a core instalment and may pay any amount above it in any month, up to ten times the core instalment. It is intended for a depositor whose monthly surplus varies.

14.2 Core Instalment

The core instalment shall be not less than Rs. 1,000 and shall be fixed at acceptance. The tenure, the rate and the indicative maturity value are computed on the core instalment. The core instalment shall not be varied during the tenure.

14.3 Additional Amounts

An amount paid above the core instalment in any month is credited to the deposit and earns interest at the contracted rate from the date of receipt to maturity. There is no obligation to pay any amount above the core instalment in any month, and paying more in one month does not create an expectation or obligation for any other.

14.4 Default

A default in a flexible recurring deposit is the non-receipt of the core instalment. Failure to pay an amount above the core instalment is not a default and attracts no charge. Section 12 applies to a default in the core instalment, and the default charge is computed on the core instalment and not on any higher amount previously paid.

14.5 Disclosure

The deposit advice shall show the indicative maturity value computed on the core instalment alone, and shall state that the actual maturity value will be higher to the extent additional amounts are paid. An indicative recomputation reflecting amounts actually received shall be available in the digital channels at any time.

14.6 Rate

The rate is the card rate for the tenure bucket, determined by reference to the core instalment slab. Amounts paid above the core instalment do not move the deposit into a higher instalment slab and do not change the rate, whether favourably or otherwise.

15. Premature Closure

15.1 Right to Close

A depositor may close a recurring deposit at any time before maturity. The Bank shall not refuse a closure, shall not require a reason, and shall not require the depositor to attend the branch at which the deposit was opened.

15.2 Rate on Premature Closure

On a premature closure, interest shall be paid on the accumulated balance at the card rate that was in force on the date of acceptance for a tenure equal to the period actually run, less the penalty in paragraph 15.3. Where the period actually run is less than six months, no interest shall be payable and the instalments received shall be refunded in full.

The rate applied shall never exceed the contracted rate. Where the card rate for the period run is higher than the contracted rate, the contracted rate applies.

15.3 Penalty

Accumulated balance at closure	Penalty
Up to Rs. 5,00,000	0.50% per annum
Above Rs. 5,00,000	1.00% per annum

The penalty is a reduction in the rate applied and is not a charge levied on the depositor. It shall not exceed the percentage disclosed at acceptance, and shall not be applied in a manner that results in the depositor receiving less than the instalments paid.

15.4 Where No Penalty Applies

No penalty shall be applied on a premature closure:

- Made on the death of the depositor, under Section 19.
- Of a deposit held by a minor, where the closure is required for the minor's education or medical treatment and the guardian so certifies.
- Of a deposit closed or curtailed under paragraph 12.7.
- Where the closure is required to meet a demand of the Bank under a facility secured by the deposit, under paragraph 17.6.
- Where the deposit was opened in error, or on incorrect information given by the Bank.
- Of a Young Saver Recurring Deposit in any circumstance.

15.5 No Partial Closure

A recurring deposit cannot be closed in part. A depositor who requires only part of the accumulated balance shall be offered a loan or overdraft against the deposit under Section 17, and the comparison in paragraph 15.6 shall be shown before any closure is effected.

15.6 Alternative of Borrowing

Before effecting a premature closure the Bank shall tell the depositor of the alternative of a loan or overdraft against the accumulated balance under Section 17, shall show in figures the cost of each course

over the period for which funds are required, and shall record that it has done so. The Bank shall not steer the depositor toward either course.

15.7 Timing

A premature closure shall be effected and the proceeds credited on the same business day where the request is received before the published cut-off, and on the next business day otherwise.

15.8 Cancellation of the Mandate

On closure the collection mandate shall be cancelled within three business days and the cancellation confirmed. Where an instalment is collected after closure through a mandate not cancelled in time, the amount shall be refunded within three business days together with compensation at Rs. 100 per day of delay.

16. Maturity, Renewal and Overdue Deposits

16.1 Notice Before Maturity

The Bank shall notify the depositor of the approaching maturity of every recurring deposit not less than fifteen days before the maturity date, through the registered channels, stating the maturity date, the maturity value computed on the instalments actually received, the maturity instruction recorded, and the means of varying it. A second notice shall be sent five days before maturity where no instruction is on record.

16.2 Repayment on Maturity

Where the maturity instruction is repayment, the maturity value shall be credited to the recorded account on the maturity date, without the depositor having to make a request. The collection mandate shall be cancelled within three business days.

16.3 Renewal

A recurring deposit cannot be renewed as a recurring deposit, since its instalments have been completed. Where the maturity instruction is renewal, the maturity value shall be placed as a term deposit governed by the Fixed Deposit Policy, for the tenure recorded, at the term deposit card rate in force on the maturity date. A renewal advice shall be issued within one business day.

Where the depositor wishes to continue saving monthly, a fresh recurring deposit shall be opened, and the depositor shall be offered this at the time of the notice under paragraph 16.1.

16.4 Where No Instruction Is on Record

Where no maturity instruction is on record and the depositor cannot be contacted, the maturity value shall not be placed as a term deposit. It shall be held and shall attract interest under paragraph 16.5, and the Bank shall continue to attempt to contact the depositor at monthly intervals.

16.5 Interest on an Overdue Deposit

Where a recurring deposit has matured and the proceeds remain unclaimed, interest shall be paid on the maturity value for the period from the maturity date to the date of repayment or placement at the rate applicable to a savings deposit, being the rate in force under the Savings Account Policy from time to time.

This paragraph admits of no exception, and no officer may apply a rate lower than the savings rate to an overdue recurring deposit.

16.6 Repayment

Maturity proceeds shall be paid by credit to an account in the depositor's own name. Payment shall not be made in cash except within the limits prescribed by law and against identification, and shall not be made to any third party except under a valid mandate or an order of a competent authority.

17. Loan and Overdraft Against a Recurring Deposit

17.1 Availability

A depositor may obtain a loan or an overdraft against a recurring deposit held with the Bank, once instalments have been paid for at least six months. The facility is available against every variant except a Young Saver Recurring Deposit, in respect of which no facility shall be granted.

17.2 Amount

The facility shall not exceed 90% of the accumulated balance at the date of sanction. The limit shall be reviewed and may be increased on the depositor's request as further instalments are received, and the Bank shall tell the depositor at sanction that this is available.

Where the deposit is held jointly, every holder shall join in the request and in the security documentation.

17.3 Rate

Interest shall be charged at 1.00% per annum above the contracted rate on the deposit, on the amount and for the period actually utilised, computed on the daily outstanding balance and debited monthly. No commitment charge shall be levied on an unutilised limit.

17.4 Charges

No processing fee, documentation charge, foreclosure charge or any other charge shall be levied in connection with a facility against a recurring deposit.

17.5 Instalments Continue

The obligation to pay instalments continues while a facility is outstanding, and the instalments received continue to earn interest at the contracted rate. The Bank shall not appropriate an instalment against the facility, and shall not suspend the collection mandate by reason of the facility.

17.6 Repayment and Adjustment

The facility shall be repaid on or before the maturity of the deposit. Where it is not, the Bank may adjust the maturity proceeds against the amount outstanding, and shall inform the depositor before doing so. Where the Bank calls the facility before maturity, the deposit may be closed to meet it and no premature closure penalty shall apply, under paragraph 15.4.

17.7 Comparison with Premature Closure

Where a depositor asks about accessing funds before maturity, the Bank shall present the comparison required by paragraph 15.6 in figures, covering the interest forgone on a premature closure and the interest payable on a facility, over the period for which the funds are required. The comparison shall be recorded on the file. Since a recurring deposit cannot be closed in part, the comparison is of particular importance where the depositor needs only a portion of the accumulated balance.

18. Nomination, Joint Holdings and Minors

18.1 Nomination

Nomination is available in respect of every recurring deposit held by an individual, singly or jointly, and shall be actively offered at acceptance. Only one nominee may be appointed. Where the nominee is a minor, the depositor shall appoint a person to receive the amount on the minor's behalf during minority.

A nomination may be made, varied or cancelled at any time by the depositor, or by all joint depositors acting together, and shall be recorded within two business days with an acknowledgement issued.

18.2 Joint Holdings

A recurring deposit may be held in the names of not more than four persons. The depositors shall specify the mode of repayment as jointly, either or survivor, former or survivor, or anyone or survivor, and the Bank shall act only in accordance with it.

18.3 Premature Closure of a Joint Deposit

A premature closure requires the joint signatures of all depositors, unless the depositors have at acceptance expressly authorised that it may be effected by the survivor or survivors, or by any one of them, and that authorisation is recorded. The authorisation shall be sought at acceptance and the depositors shall be told why it matters.

18.4 Addition and Deletion of a Holder

A holder shall not be added to or deleted from a subsisting recurring deposit. Where the depositors wish to change the holding, the deposit shall be closed and a fresh one opened; the closure is a premature closure and Section 15 applies, and the depositors shall be told so before acting.

18.5 Minors

A recurring deposit may be opened in the name of a minor, operated by the guardian, or by the minor independently where the minor has attained the age at which independent operation is permitted under the Savings Account Policy. On attaining majority the depositor shall furnish a fresh specimen signature and complete due diligence, and until then repayment shall be made only to the guardian or against the guardian's countersignature.

A Young Saver Recurring Deposit shall not be closed by the guardian before maturity except where the closure is for the minor's education or medical treatment and the guardian so certifies, or where the guardian's request is approved by the Branch Manager with the reason recorded.

19. Settlement of Claims of Deceased Depositors

19.1 Principle

The Bank shall settle claims in respect of the recurring deposits of deceased depositors promptly, sympathetically and without insisting on documentation beyond what is necessary. Claim settlement is a service obligation and shall not be treated as a recovery or risk event.

19.2 Collection Stops

On notice of the death of a depositor, the collection mandate shall be cancelled immediately and no further instalment shall be collected. Where an instalment has been collected after the date of death, it shall be refunded to the account from which it was collected, or included in the amount settled, as the claimant elects.

19.3 No Penalty and No Default Charge

Where a recurring deposit is closed before maturity on the death of the depositor, no premature closure penalty shall be applied, and interest shall be paid at the contracted rate for the period the deposit has run. Any default charge levied in respect of an instalment falling due after the date of death shall be reversed.

19.4 Survivorship and Nomination

Where a survivorship mandate subsists, the amount shall be paid to the survivor without requiring succession documentation and without the consent of the legal heirs of the deceased. Where a valid nomination subsists, the amount shall be paid to the nominee on production of proof of death and identification, without requiring a succession certificate, indemnity or surety. Payment in either case is a valid discharge of the Bank's liability.

19.5 Neither Survivorship Nor Nomination

Where there is neither, the claim shall be settled in favour of the legal heirs. For an aggregate of deposits up to Rs. 10,00,000, settlement may be made against a claim form, proof of death, proof of relationship, an indemnity and a declaration by the claimants, without insisting on a succession certificate. Above that threshold the Bank may require legal representation, and the requirement shall be approved by the Regional Head with reasons recorded.

19.6 Option to Continue

Where the deposit has not matured, the claimant may elect to continue it to maturity, paying the remaining instalments, rather than take premature repayment. The Bank shall offer this election, shall show the difference in figures, and shall give effect to the choice. Where the deposit continues, it shall be redesignated in the name of the person entitled and a fresh mandate obtained.

19.7 Turnaround

A complete claim shall be settled within fifteen days of receipt. Where it cannot be, the claimant shall be informed in writing of the reason and the expected date. Where the delay is attributable to the Bank, interest shall be paid for the period of delay at the contracted rate plus two per cent per annum.

20. Deposit Insurance, Unclaimed Deposits and Tax

20.1 Deposit Insurance

Recurring deposits are insured by the deposit insurance corporation up to the limit prescribed from time to time, currently Rs. 5,00,000 per depositor per bank in the same right and capacity. The premium is borne entirely by the Bank and shall not be recovered from depositors in any form.

20.2 Aggregation

For the purpose of the limit, all deposits held by a depositor with the Bank in the same right and capacity are aggregated, including savings deposits, current account balances, term deposits and recurring deposits. Deposits held in different capacities, such as in an individual capacity and as guardian of a minor, are treated separately.

Staff shall not represent that the limit applies separately to each deposit, to each account, or to each branch.

20.3 Disclosure

The fact and extent of insurance coverage shall be displayed at every branch and on the Bank's website, and shall be stated in the deposit advice issued under paragraph 7.3.

20.4 Unclaimed Deposits

A recurring deposit which has matured and has remained unclaimed for ten years, together with the interest accrued on it under paragraph 16.5, shall be transferred to the fund prescribed for unclaimed deposits. Transfer does not extinguish the depositor's claim. On a claim being made, the Bank shall pay the amount together with interest as prescribed and shall recover from the fund in the prescribed manner. The public search facility maintained under the Savings Account Policy covers recurring deposits.

20.5 Tax Deducted at Source

Tax shall be deducted at source from interest on recurring deposits where the law so requires, at the rate in force. Interest across all deposits of the depositor with the Bank, including term deposits and recurring deposits, shall be aggregated for this purpose.

Because interest on a recurring deposit accrues throughout the tenure but is paid at maturity, tax may be deducted in a year in which the depositor receives nothing. The depositor shall be told this at acceptance and it shall be stated in the deposit advice.

20.6 Declarations

Where a depositor furnishes a declaration in the prescribed form for non-deduction of tax, the Bank shall give effect to it from the date of receipt and shall not deduct tax thereafter for that financial year. A declaration shall not be given retrospective effect, and the Bank shall tell the depositor at acceptance and at the start of each financial year that a fresh declaration is required for that year.

20.7 Certificates and Refunds

A certificate of tax deducted shall be issued within the period prescribed. An interest certificate showing the interest accrued and the tax deducted shall be furnished annually without charge and at any time on request. Where tax has been deducted in excess through an error of the Bank, the Bank shall refund the excess where it is able to do so within the same financial year, and shall otherwise furnish the depositor

with the particulars required to claim it together with a letter recording the error. No charge shall be levied in either case.

21. Confidentiality, Data Protection and Anti-Money Laundering

21.1 Confidentiality

Information relating to a depositor and to a recurring deposit is confidential, and the duty survives the repayment of the deposit. Disclosure is permitted only where compelled by law or an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the depositor has given express and informed consent.

21.2 Marketing

Deposit data shall not be used to market other products, and shall not be shared with any group entity or partner for that purpose, without the depositor's express consent, which may be withdrawn at any time without affecting the deposit or its rate. A record of instalment defaults shall not be used to target the depositor with any credit product.

21.3 Access, Correction and Retention

A depositor is entitled to a copy of the information held about them and to require correction of any inaccuracy, which shall be given effect within ten business days or refused in writing with reasons. Records of identity and of deposits shall be retained for five years from the repayment of the deposit or the cessation of the relationship, whichever is later, and until the conclusion of any proceeding relating to the deposit.

21.4 Security

Access to depositor data shall be on the principle of least privilege and shall be logged, with logs reviewed monthly. A service provider handling depositor data shall be bound by confidentiality obligations no less stringent than the Bank's own, shall be subject to audit, and shall not sub-contract without written consent. A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection and affected depositors notified without undue delay where harm is likely.

21.5 Anti-Money Laundering

Recurring deposits present a lower risk profile than term deposits, since they are funded by small periodic amounts from an account already subject to monitoring. The following nonetheless warrant attention:

- Instalments funded in cash where the depositor maintains an account capable of funding them.
- A pattern of opening a recurring deposit and closing it prematurely shortly afterwards, repeated across deposits.
- Instalments funded from an account of a third party with no established relationship to the depositor.
- A large number of recurring deposits opened in related names with instalments funded from a common source.
- A deposit pledged to secure a facility of a third party.
- Advance payment of all remaining instalments shortly after opening, followed by a request for premature closure.

21.6 Reporting

Reports shall be filed with the financial intelligence authority within the prescribed timelines. Staff shall not disclose to a depositor or to any other person that a report has been or may be filed, or that a deposit is under investigation.

22. Grievance Redressal, Roles and Policy Review

22.1 Grievance Channels and Escalation

A grievance may be lodged at any branch, through the contact centre, through the complaint form on the Bank's website or mobile application, by letter, or by electronic mail to the published grievance address. Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response.

Level	Authority	Resolution time
1	Branch Manager or Contact Centre Supervisor	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

A grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated. The right to approach the external Banking Ombudsman shall be stated in every final response.

22.2 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of the Policy; oversight of its operation
Risk Management Committee	Recommendation of the Policy; review of exception reporting
Asset and Liability Committee	Rate setting methodology; tenure buckets and instalment slabs
Product and Pricing Committee	Card rates within the methodology; charges
Head of Retail Liabilities	Policy ownership; consistency with the Fixed Deposit Policy
Branch Manager	Application at the point of contact; disclosure before acceptance; hardship waivers
Regional Head	Claim settlement above the threshold in paragraph 19.5
Head of Compliance	Regulatory alignment; Exception Register
Internal Audit	Independent assurance, including rate application and default charge testing

22.3 Approval Authority for Exceptions

Exception type	Approving authority
Waiver of a default charge on hardship grounds	Branch Manager, without limit on number
Closure of a Young Saver deposit by the guardian, other than for education or medical treatment	Branch Manager

Exception type	Approving authority
Claim settlement above Rs. 10,00,000 without legal representation	Regional Head
Departure from paragraph 9.2, 12.6, Section 15 or paragraph 16.5	Not permitted

22.4 Monitoring and Consistency Testing

Compliance shall conduct thematic testing at least twice each financial year, covering rate application against the card in force, uniformity within slabs, disclosure before acceptance and its recording, nomination coverage, instalment collection and representation, default charge computation and cap, treatment of six consecutive defaults, maturity notice issuance, treatment of overdue deposits, premature closure computation, the comparison required by paragraph 15.6, and claim settlement turnaround.

Compliance shall additionally, at each review, reconcile every provision of this Policy that has a counterpart in the Fixed Deposit Policy and report any divergence in figures or substance to the Head of Retail Liabilities within five business days of detection. A divergence is to be treated as an error in one of the two documents and corrected, and shall not be relied upon by any officer as conferring a discretion.

22.5 Key Indicators

- Deposits opened, by variant, tenure bucket, instalment slab and channel.
- Instances of a rate applied differing from the card in force, and the cause.
- Proportion of deposits with a nomination recorded and a maturity instruction recorded.
- Instalment collection success rate at first presentation and at representation.
- Deposits with one or more defaults; deposits with six or more consecutive defaults; options elected under paragraph 12.7.
- Default charges levied and waived, and waivers by branch.
- Deposits closed under paragraph 12.7 for want of a response.
- Maturity notices issued fifteen days in advance.
- Overdue deposits outstanding, their age, and interest paid under paragraph 16.5.
- Premature closures, penalty applied, and cases within paragraph 15.4.
- Instances where the comparison under paragraph 15.6 was recorded.
- Claims settled within fifteen days; compensation paid under paragraph 19.7.
- Grievances received per ten thousand deposits, and the proportion resolved at Level 1.

22.6 Training

Every member of staff in a role involving deposit acceptance or servicing shall complete certification on this Policy within thirty days of joining and annually thereafter. Certification shall be a condition of continued authorisation to open a recurring deposit or to compute a premature closure.

22.7 Policy Review and Amendment

This Policy shall be reviewed at least once every financial year by the Retail Liabilities Group in consultation with Treasury, Compliance, Risk, Operations and Legal, and placed before the Board through the Risk Management Committee. The review shall in every case include the reconciliation required by paragraph 22.4.

An interim amendment may be initiated on a change in regulatory direction, the introduction or withdrawal of a variant, a finding from audit or thematic testing, a divergence detected under paragraph 22.4, or a

material adverse trend in default or grievance data. Where a regulatory direction takes effect before the Policy can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction. An approved amendment shall be communicated to staff within seven days, incorporated into training within thirty days, and notified to depositors where it affects them. The version history is maintained in Annexure D and superseded versions retained for ten years.

Annexure A: Illustrative Computations

A.1 Standard Recurring Deposit

Instalments of Rs. 10,000 a month for 36 months at the card rate of 7.00% per annum, compounded quarterly, every instalment received on its due date.

Item	Amount
Instalment	Rs. 10,000
Number of instalments	36
Total deposited	Rs. 3,60,000
Interest earned	Rs. 41,373
Maturity value	Rs. 4,01,373

For a senior citizen at 7.50% the maturity value would be Rs. 4,04,530 and the interest Rs. 44,530, being Rs. 3,157 more.

A.2 Other Combinations

Instalment	Tenure	Rate	Total deposited	Maturity value
Rs. 1,000	60 months	7.00%	Rs. 60,000	Rs. 71,933
Rs. 10,000	36 months	7.00%	Rs. 3,60,000	Rs. 4,01,373
Rs. 25,000	24 months	7.00%	Rs. 6,00,000	Rs. 6,45,495

A.3 Premature Closure at 18 Months

The deposit in A.1 is closed after 18 instalments. The card rate in force on the date of acceptance for a tenure of 18 months was 7.00%. The accumulated balance is below Rs. 5,00,000, so the penalty is 0.50%.

Basis	Rate applied	Amount payable
Card rate for the period run	7.00%	Rs. 1,90,251
Less penalty of 0.50%	6.50%	Rs. 1,89,500
Total instalments paid		Rs. 1,80,000
Had the deposit run to maturity	7.25% contracted, 36 months	Rs. 4,01,373

The penalty costs Rs. 751. The depositor still receives more than the Rs. 1,80,000 paid in, because paragraph 15.3 does not permit a penalty to reduce the amount below the instalments received.

A.4 The Alternative of Borrowing

Instead of closing at 18 months, the depositor could borrow against the deposit under Section 17. At 24 months the position would be:

Item	Detail
Accumulated balance at 24 months	Rs. 2,58,198
Maximum facility, 90% of the balance	Rs. 2,32,378
Rate on the facility, contracted rate plus 1.00%	8.00% per annum
Deposit continues to earn	7.00%, undisturbed
Maturity value at 36 months, unaffected	Rs. 4,01,373

Because a recurring deposit cannot be closed in part, a depositor needing only a portion of the balance has no alternative to borrowing other than closing the whole deposit. Paragraph 15.6 requires this comparison to be worked in figures for the depositor's own circumstances.

A.5 Default Charge

Instalment	Charge per month of delay	Three months' delay
Rs. 500	Rs. 5	Rs. 15
Rs. 2,000	Rs. 20	Rs. 60
Rs. 10,000	Rs. 100	Rs. 100, being the cap
Rs. 25,000	Rs. 100, being the cap	Rs. 100, being the cap

The charge is deducted from the maturity value. A default also reduces the maturity value by the interest the instalment would have earned, which for a Rs. 10,000 instalment missed 24 months before maturity is approximately Rs. 1,500. The interest effect is ordinarily larger than the charge, and the depositor shall be told so.

A.6 Flexible Recurring Deposit

A core instalment of Rs. 5,000 for 36 months at 7.00%, with Rs. 15,000 paid in six of the thirty-six months.

Item	Amount
Core instalment	Rs. 5,000
Indicative maturity value on the core instalment alone	Rs. 2,00,686
Total actually deposited	Rs. 2,40,000
Actual maturity value	Rs. 2,66,619

The deposit advice shows only the indicative figure computed on the core instalment. The actual figure is higher to the extent additional amounts were paid, and is available in the digital channels at any time.

A.7 Overdue Deposit

The deposit in A.1 matures and is not claimed for 45 days.

Item	Amount
Maturity value on the maturity date	Rs. 4,01,373

Item	Amount
Interest for 45 days at the savings rate of 2.75%	Rs. 1,361
Amount payable on the 45th day	Rs. 4,02,734

Annexure B: Default and Closure Treatment

Situation	Charge	Effect on interest	Effect on the deposit
Instalment paid on the due date	Nil	Full interest from the due date	Continues
Instalment paid late	Rs. 10 per Rs. 1,000 per month, capped at Rs. 100	Interest from the date of actual receipt	Continues
Instalment not paid at all	Same charge until paid or maturity	No interest on that instalment	Continues
Instalment missed on a Young Saver deposit	Nil	No interest on that instalment	Continues
Instalment missed through a Bank or system failure	Nil, waived	Interest as though received on the due date	Continues
Instalment missed through delayed salary or pension credit	Nil, waived	Interest from the date of actual receipt	Continues
Amount above the core instalment not paid, flexible variant	Nil	No interest on an amount not paid	Continues
Six consecutive instalments missed	Charges as above	Interest on instalments received	Options under paragraph 12.7
No response within 60 days of contact after six defaults	Charges as above	Card rate for the period run	Closed, no penalty
Depositor curtails the tenure under paragraph 12.7	Charges as above	Card rate for the period run	Closed, no penalty
Premature closure at the depositor's request	Charges as above	Card rate for the period run, less penalty	Closed
Closure on the death of the depositor	Charges after the date of death reversed	Contracted rate for the period run	Closed, no penalty
Closure to meet a demand under a facility against the deposit	Charges as above	Card rate for the period run	Closed, no penalty

Annexure C: Turnaround Time and Compensation Matrix

Event	Timeline	Compensation for delay
Opening and issue of deposit advice	1 business day	Nil
Recording of nomination	2 business days	Nil
Registration of the collection mandate	Before the deposit is opened	Not applicable
Reminder before a due date, where opted	3 business days in advance	Not applicable
Alert on receipt of an instalment	Same day	Not applicable
Notice of a failed presentation	Same day	Not applicable
Representation of a failed mandate	Within 7 days	Not applicable
Notice of a defaulted instalment	3 business days	Not applicable
Notice of a failure within paragraph 11.6	3 business days	Charge waived, interest as if paid on time
Contact after six consecutive defaults	Immediately, with 60 days to respond	Not applicable
Refund of advance instalments on request	3 business days	Nil
Change of due date	From the following month	Nil
Statement of instalments on request	Immediate in digital channels	Nil
Sanction of a loan against the deposit	1 business day	Nil
Notice before adjusting maturity proceeds against a facility	Before adjustment	Not applicable
Notice before maturity	15 days in advance	Not applicable
Second notice where no instruction on record	5 days before maturity	Not applicable
Credit of maturity proceeds	On the maturity date	Rs. 100 per day
Placement as a term deposit on renewal instruction	On the maturity date	Rs. 100 per day
Renewal advice	1 business day	Nil
Cancellation of the collection mandate on maturity or closure	3 business days	Rs. 100 per day on a wrongly collected instalment
Premature closure, request before cut-off	Same business day	Rs. 100 per day
Premature closure, request after cut-off	Next business day	Rs. 100 per day
Comparison under paragraph 15.6	Before closure is effected	Not applicable
Contact attempt on an overdue deposit	Monthly	Not applicable
Cancellation of mandate on notice of death	Immediate	Not applicable
Settlement of a deceased depositor claim	15 days	Contracted rate plus 2% p.a.

Event	Timeline	Compensation for delay
Interest certificate or tax certificate on request	3 business days	Nil
Refund of excess tax deducted, same financial year	7 business days	Nil
Correction of depositor information	10 business days	Nil
Reporting of a divergence from the Fixed Deposit Policy	5 business days from detection	Not applicable
Grievance, Level 1	7 business days	Nil
Grievance, Level 2	14 business days	Nil
Grievance, Level 3	21 business days	Nil

Annexure D: Abbreviations and Version History

D.1 Abbreviations

Abbreviation	Expansion
ALCO	Asset and Liability Committee
AML	Anti-Money Laundering
CFT	Counter-Financing of Terrorism
CISO	Chief Information Security Officer
FIU	Financial Intelligence Unit
KYC	Know Your Customer
OVD	Officially Valid Document
RD	Recurring Deposit
TAT	Turnaround Time
TDS	Tax Deducted at Source

D.2 Version History

Version	Date	Approved by	Summary of change
1.0	14 April 2026	Board of Directors	Initial issue as a standalone policy. Supersedes Section 12 of the Fixed Deposit Policy version 8.3, every provision of which is carried forward without change of substance. Introduces the Flexible, Step-Up and Young Saver variants; the loan against a recurring deposit in Section 17; the mandatory comparison with borrowing in paragraph 15.6; the express statement in paragraph 12.1 that a missed instalment is not a credit default; and the consistency reconciliation in paragraph 22.4.